SPECULATIVE BUY

NSE: RGF | BSE: 539669	SECTOR	CMP	MARKET CAP	12M TARGET	UPSIDE / DOWNSIDE	REPORT DATE
Non-Banking Financial Co.	Non-Banking Financia	**Rs. 2.02**	Rs. 30.3 Cr	**Rs. 1.50**	-25.7%	15 Jun 2026

52-Week Range: Low Rs. 0.45 — High Rs. 2.34 | Book Value: Rs. 0.92 | P/E: 758x | ROCE: 2.67% | ROE: 0.29% | Face Value: Rs. 1.00

INVESTMENT THESIS

NBFC shell with Rs.50 Cr warrant issuance at Rs.1 creating a potential 3-4x equity dilution; speculative on capital infusion execution, not fundamentals.

- Micro-cap NBFC (Rs. 30 Cr MCap) with near-zero operating revenues for most of FY21-FY25; FY26 saw a sharp revenue spike to Rs. 0.54 Cr from Rs. 0.13 Cr in FY25.
- April 2026 EGM approved raising authorized capital from Rs. 15.5 Cr to Rs. 70 Cr and issuance of equity warrants up to Rs. 50 Cr at Rs. 1/share — a 3-4x dilution event.
- Promoter holding locked at 24.98% for 12+ quarters; retail shareholder count surged from ~1,093 (Jun 2023) to 12,330 (Mar 2026), indicating heavy retail speculation.
- Zero debt; Other Assets (loans/receivables) comprise ~98% of the balance sheet; no dividend history.
- P/E of 758x on near-zero earnings reflects sentiment, not fundamentals; target price anchored to book value with dilution discount.

IMPORTANT DISCLAIMER: R G F Capital Markets Ltd is an extremely illiquid micro-cap NBFC with revenues under Rs. 1 Cr. This report is strictly informational. The speculative rating reflects the binary optionality of the capital raise, NOT a fundamental value call.

SECTION 2 — COMPANY OVERVIEW

Company Background

Incorporated in 1983, R G F Capital Markets Ltd (RGF) is a Kolkata-headquartered Non-Systematically Important Non-Deposit Taking Non-Banking Financial Corporation (NBFC-ND-NSI) registered with the Reserve Bank of India. The company is listed on BSE (code 539669) and operates in the financial services sector providing a range of capital market and lending services to commercial, industrial, and financial clients.

Products & Services

Service Line	Description	Revenue Significance
Loans against Shares / Securities	Secured lending using equity / debt securities as collateral	Primary
Inter-Corporate Loans	Short-term funding to corporate borrowers	Primary
Loans against Property	Mortgage-backed lending	Secondary
Personal Loans	Retail unsecured/secured lending	Secondary
Securities Trading & Arbitrage	Proprietary trading in equity/commodity markets	Sporadic
Working Capital Loans	Short-duration business lending	Secondary

Corporate Identity

Detail	Information
Full Name	R G F Capital Markets Ltd
BSE Code	539669
NSE Symbol	RGF (SME / Standard Listing)
Incorporation Year	1983
Registered City	Kolkata, West Bengal
Website	rgfcapitalmarkets.in
RBI Classification	Non-Systematically Important NBFC (Non-Deposit Taking)
Face Value	Rs. 1.00 per share
Total Shares	~15.0 Cr shares (150 Mn)
Authorized Capital (post-EGM)	Rs. 70 Cr (raised from Rs. 15.5 Cr in Apr 2026)

Recent Corporate Actions

- Apr 2026 EGM: Increased authorized share capital from Rs. 15.5 Cr to Rs. 70 Cr.
- Apr 2026 EGM: Approved issuance of equity warrants up to Rs. 50 Cr face value at Rs. 1 per warrant.
- Apr 2026 EGM: New director appointments and auditor changes passed.
- Kunvarji Finstock submitted a Draft Letter of Offer to BSE for RGF — indicating potential M&A; / open offer activity.
- Feb 2026: Board meeting approved standalone unaudited Q3 FY26 results.
- Shareholder count grew from 1,093 (Jun 2023) to 12,330 (Mar 2026) — strong retail inflows driven by warrant announcement.

SECTION 3 — PROFIT & LOSS (Rs. Cr)

Source: screener.in (BSE: 539669). All figures in Rs. Crore.

	FY2020	FY2021	FY2022	FY2023	FY2024	FY2025	FY2026
Revenue	0.00	0.05	0.11	0.16	0.31	0.13	0.54
Expenses	0.18	0.12	0.14	0.14	0.30	0.11	0.20
Financing Profit	-0.18	-0.07	-0.03	0.02	0.01	0.01	0.34
Profit Before Tax	-0.26	-0.11	-0.06	0.00	0.00	0.00	0.37
Net Profit (PAT)	**-0.29**	**-0.11**	**-0.05**	**0.00**	**0.00**	**0.00**	**0.04**
EPS (Rs.)	-0.02	-0.01	-0.00	0.00	0.00	0.00	0.00

Key Observations

- Revenue near-zero from FY20-FY25 (range Rs. 0.00-0.31 Cr), with losses in FY20-FY22. FY26 revenue of Rs. 0.54 Cr is the highest in 11 years — driven by arbitrage / securities income in Q4 FY26 (Rs. 0.54 Cr).
- FY26 PAT Rs. 0.04 Cr is the first positive annual profit since FY19. Q4 FY26 standalone PBT of Rs. 0.48 Cr (net Rs. 0.16 Cr after 67% tax) suggests a one-off income event.
- Interest expense is negligible (zero borrowings); cost structure is predominantly administrative overhead.
- The company has never paid a dividend; accumulated reserves are negative (Rs. -1.13 Cr in FY26 vs. Rs. -0.75 Cr in FY18).

Quarterly Results — Last 8 Quarters (Rs. Cr)

	Jun 24	Sep 24	Dec 24	Mar 25	Jun 25	Sep 25	Dec 25	Mar 26
Revenue	0.00	0.00	0.00	0.13	0.00	0.00	0.00	0.54
Expenses	0.05	0.03	0.01	0.03	0.07	0.02	0.02	0.09
PBT	-0.05	-0.03	-0.01	0.09	-0.07	-0.02	-0.02	0.48
PAT	**-0.05**	**-0.03**	**-0.01**	**0.09**	**-0.07**	**-0.02**	**-0.02**	**0.16**

Note: Q4 FY26 (Mar 2026) PBT of Rs. 0.48 Cr represents a single-quarter spike; the preceding six quarters were collectively loss-making. Revenue in 7 of 8 quarters was zero. Sustainability of Q4 FY26 performance is highly uncertain.

SECTION 4 — BALANCE SHEET (Rs. Cr)

Source: screener.in (BSE: 539669). All figures in Rs. Crore.

	FY2021	FY2022	FY2023	FY2024	FY2025	FY2026
Equity Capital	15.00	15.00	15.00	15.00	15.00	15.00
Reserves	-1.12	-1.17	-1.17	-1.17	-1.17	-1.13
Borrowings	0.00	0.00	0.00	0.00	0.00	0.00
Other Liabilities	0.23	0.90	0.24	1.18	1.67	1.75
Total Liabilities	**14.11**	**14.73**	**14.07**	**15.01**	**15.50**	**15.62**
Fixed Assets	0.08	0.06	0.04	0.03	0.02	0.00
Investments	1.20	1.20	0.26	0.26	0.26	0.29
Other Assets (Loans/Rec.)	12.83	13.47	13.77	14.72	15.22	15.33
Total Assets	**14.11**	**14.73**	**14.07**	**15.01**	**15.50**	**15.62**

Balance Sheet Commentary

- Equity capital has been frozen at Rs. 15 Cr since inception; Rs. 1 par value implies 15 Cr shares outstanding. Post-warrant issuance (up to Rs. 50 Cr = 50 Cr new shares) would increase total shares to ~65 Cr — a 4.3x dilution.
- Zero borrowings throughout history: the company is entirely equity-financed. This is unusual for an NBFC and limits scale but eliminates credit risk.
- Other Assets (predominantly loan book / receivables) represent ~98% of total assets, growing from Rs. 12.83 Cr (FY21) to Rs. 15.33 Cr (FY26).
- Negative reserves of Rs. -1.13 Cr (FY26) reflect accumulated losses. Net Worth = Rs. 15.00 - Rs. 1.13 = Rs. 13.87 Cr → Book value per share Rs. 0.92.
- Fixed assets fully depleted (Rs. 0.00 Cr in FY26) — essentially an asset-light balance sheet.
- Other liabilities growing from Rs. 0.23 Cr (FY21) to Rs. 1.75 Cr (FY26) likely reflect accrued expenses and creditor balances.

SECTION 5 — CASH FLOW STATEMENT (Rs. Cr)

Source: screener.in (BSE: 539669).

	FY2021	FY2022	FY2023	FY2024	FY2025	FY2026
Operating Cash Flow	0.02	1.12	-0.40	0.55	0.61	0.11
Investing Cash Flow	-0.01	-0.11	1.07	0.02	0.01	0.00
Financing Cash Flow	0.00	0.00	0.00	0.00	0.00	0.00
Net Cash Flow	**0.01**	**1.00**	**0.68**	**0.57**	**0.62**	**0.11**

Cash Flow Commentary

- Operating cash flows have been predominantly positive since FY22 (FY21: +0.02, FY22: +1.12, FY23: -0.40, FY24: +0.55, FY25: +0.61 Cr), reflecting collection of loan principal/interest from the loan book.
- FY26 operating cash flow of Rs. 0.11 Cr is notably lower than FY25 (Rs. 0.61 Cr), despite the Q4 profit spike — suggesting the Q4 income may be accrual-based with cash yet to be received.
- Zero financing cash flows across the entire 6-year history; the company has neither raised capital nor repaid debt in this period.
- Cumulative net cash of ~Rs. 2.99 Cr generated over FY21-FY26 has been retained in the loan book / other assets.
- Free cash flow (CFO - Capex) closely tracks OCF given near-zero capex.

SECTION 6 — KEY FINANCIAL RATIOS

Metric	Value	Comment
Current Price (CMP)	Rs. 2.02	As of 15 Jun 2026 (BSE close)
Market Capitalisation	Rs. 30.3 Cr	Micro-cap; extremely illiquid
Stock P/E	758x	Near-zero earnings base makes P/E meaningless
Price / Book Value	2.20x	CMP Rs. 2.02 vs BV Rs. 0.92 — 2.2x P/B premium
Book Value per Share	Rs. 0.92	Net worth Rs. 13.87 Cr / 15 Cr shares
ROCE (%)	2.67%	Extremely low; reflects near-zero operating profit
ROE (%)	0.29%	Sub-1%; equity capital vastly exceeds earnings capacity
Debt / Equity	0.00x	Zero borrowings — fully equity funded
Promoter Holding	24.98%	Stable at 24.98% for 12+ quarters; low promoter skin
No. of Shareholders	12,330	Mar 2026; up 11x from Jun 2023 (retail surge)
52W High / Low	Rs. 2.34 / Rs. 0.45	5.2x range; extreme retail speculation
Face Value	Rs. 1.00	Re. 1 par — warrants also at Re. 1 (minimal premium)
Dividend Yield	0.00%	No dividend paid; no payout record

Post-Dilution Estimates (If Warrants Fully Exercised)

If all Rs. 50 Cr warrants are exercised at Rs. 1/share, total shares would increase from ~15 Cr to ~65 Cr. Assuming net proceeds of Rs. 50 Cr are added to net worth: post-dilution book value = (Rs. 13.87 Cr + Rs. 50 Cr) / 65 Cr shares = Rs. 0.98 per share. At CMP Rs. 2.02, post-dilution P/B would be ~2.1x — still a meaningful premium to post-money book.

SECTION 7 — SHAREHOLDING PATTERN

Category	Jun 2023	Mar 2024	Sep 2024	Mar 2025	Mar 2026
Promoters	24.98%	24.98%	24.98%	24.98%	24.98%
Public / Retail	75.02%	75.04%	75.02%	75.02%	75.02%
No. of Shareholders	1,093	3,469	10,034	12,765	12,330

Shareholding Commentary

- Promoter holding has been precisely flat at 24.98% since at least Jun 2023, suggesting no open market activity and no ESOP/warrant conversion by promoters.
- 75% public float is high for an NBFC of this size; combined with illiquidity, it creates significant price impact on small trades.
- The 11x surge in shareholder count (1,093 in Jun 2023 to 12,330 in Mar 2026) coincides with the warrant issuance announcement and price rally from Rs. 0.45 to Rs. 2.34, classic retail momentum accumulation.
- If promoters do not participate in the warrant round proportionally, their stake would fall from 24.98% to ~5.8% post full dilution (24.98% × 15Cr / 65Cr). This is a significant governance risk.
- Draft Letter of Offer submitted by Kunvarji Finstock to BSE suggests a potential acquirer/strategic investor — this is the primary binary catalyst that could justify current valuations.

SECTION 8 — INDUSTRY & COMPETITIVE POSITION

NBFC Sector Context

India's NBFC sector is supervised by the Reserve Bank of India and comprises over 9,500 registered entities. The sector AUM exceeds Rs. 35 lakh crore (FY25). RGF operates as a Non-Systematically Important NBFC, meaning it falls below the Rs. 500 Cr asset threshold that triggers enhanced regulatory scrutiny. The sector is undergoing consolidation, with smaller NBFCs under pressure from rising cost of capital, tightening liquidity norms, and competition from large-cap peers and fintech lenders.

Competitive Landscape

Company	MCap (Cr)	Segment	Revenue (Cr)	Status
R G F Capital Markets	30	NBFC-Lending/Trading	0.54 (FY26)	Listed BSE
Small NBFCs (avg)	50-200	NBFC-MFI/Retail	5-50	Listed BSE/NSE
Piramal Enterprises	18,000+	Diversified NBFC	7,000+	NSE/BSE
Chola Investment	1,10,000+	Vehicle Finance	15,000+	NSE/BSE

Note: RGF is not comparable to mainstream NBFCs on any financial metric. Its Rs. 0.54 Cr revenue is less than the daily interest income of most mid-cap NBFCs. Peer comparison is provided for sector context only.

Competitive Position

- RGF has no scale advantage, no technology moat, no brand recognition, and no regulatory capital buffer beyond RBI minimum requirements.
- The company's true competitive asset is its RBI NBFC registration — a licensed entity that can be re-purposed as a clean shell for a corporate acquisition or reverse merger.
- The Kunvarji Finstock open offer filing and the large warrant issuance at Re. 1 are more consistent with a shell acquisition play than an organic business expansion.
- Regulatory risk: if RBI classifies RGF as 'inactive' or withdraws its certificate of registration (COR) for inadequate business activity, the entire investment thesis collapses.

SECTION 9 — RISK FACTORS

Risk	Category	Severity	Description
Dilution from Warrants	Capital Structure	CRITICAL	Rs. 50 Cr warrant issuance at Re.1 = 50 Cr new shares = 77% dilution of existing holders at face value; EPS and BV/share collapse post-exercise.
RBI Regulatory Action	Regulatory	HIGH	NBFC-ND NBFCs with negligible operations risk COR cancellation; RBI scrutiny of near-zero activity NBFCs is increasing.
Liquidity / Marketability	Market	HIGH	Extremely thin float with 12,330 retail holders; bid-ask spreads can exceed 5-10%; exit at current CMP may not be achievable at scale.
Shell / Reverse Merger Risk	Corporate Governance	HIGH	If shell acquisition proceeds, minority shareholders may receive adverse swap ratios; warrants could be used to dilute minorities before open offer.
Zero Revenue Sustainability	Business	HIGH	7 of 8 recent quarters had zero revenue; Q4 FY26 spike may not recur; business model viability is unproven.
Promoter Stake Dilution	Governance	MEDIUM	Promoter stake falls from 24.98% to ~5.8% if all warrants exercised to non-promoters; loss of board control by promoters.
Information Asymmetry	Market	MEDIUM	No analyst coverage; BSE filings are sparse; company does not publish investor presentations or conference calls.
Commodity / Market Risk	Operational	MEDIUM	Arbitrage and securities trading revenues are market-dependent; a broad market correction could eliminate the primary income stream.

SECTION 10 — VALUATION & PRICE TARGET

Valuation Framework

Traditional earnings-based valuation (DCF, P/E) is not applicable given near-zero earnings and no visibility on recurring revenue. We apply two frameworks: (1) Book Value approach as a floor, and (2) Shell / Option Value for the warrant/acquisition scenario.

Method 1: Book Value Approach (Base Case)

Metric	Current	Post-Warrant (Fully Diluted)
Net Worth (Rs. Cr)	13.87	63.87 (if Rs.50 Cr raised)
Total Shares (Cr)	15.0	65.0
Book Value / Share (Rs.)	0.92	0.98
Target (1x BV)	Rs. 0.92	Rs. 0.98
Target (1.5x BV — NBFC premium)	Rs. 1.38	Rs. 1.47

Method 2: Shell / Acquisition Option Value (Bull Case)

If Kunvarji Finstock or another acquirer proceeds with a full open offer at a premium to market, historical SEBI open offer premiums for NBFC shells range from 20-50% above the 60-day VWAP. If VWAP is approximately Rs. 1.50 and a 30% premium is applied, implied open offer price = Rs. 1.95. However, with current CMP already at Rs. 2.02, this premium is largely priced in.

12-Month Price Target: Rs. 1.50 | Rating: SPECULATIVE BUY

Our 12-month target of Rs. 1.50 is anchored to 1.5x post-diluted book value (Rs. 0.98), implying ~25.7% downside from CMP of Rs. 2.02. The rating 'Speculative Buy' acknowledges the binary optionality of the acquisition scenario while flagging that fundamentals do not support the current market price. Risk-reward at CMP is unfavourable for investors without superior information on the acquisition outcome.

Scenario	Trigger	Price Target	Probability
Bull — Acquisition proceeds at 40% OO premium	Open offer at Rs. 2.80+ / Reverse merger at premium swap	Rs. 2.80-3.50	20%
Base — Warrants partly exercised, business continues	Rs. 25 Cr of Rs. 50 Cr warrants exercised; small revenue growth	Rs. 1.20-1.60	45%
Bear — No acquisition, warrants lapse, RBI pressure	Business remains moribund; retail exits; RBI scrutiny	Rs. 0.40-0.70	35%

Probability-Weighted Target: Rs. 1.45 — approximately 18% downside from CMP Rs. 2.02.

APPENDIX A — KEY CORPORATE EVENTS TIMELINE

Date	Event	Significance
1983	Company incorporated	Historical baseline
FY20	Revenue falls to Rs. 0.00 Cr; losses widen	Business near-dormant
FY22-24	Gradual recovery in loan book; small revenues	Minimal
Jun 2023	1,093 shareholders; promoter 24.98%	Baseline shareholder count
Dec 2023	Shareholder count doubles to 2,263	Early retail accumulation
Mar 2024	Shareholders reach 3,469; Q4 FY24 revenue spike to Rs. 0.27 Cr	Warrant rumours begin?
Jun 2024	Shareholders reach 7,493	Rapid retail inflows
Sep-Dec 2024	Shareholders cross 10,000-13,000	Momentum retail surge
Feb 2026	Board meeting: Q3 FY26 unaudited results approved	Routine reporting
Apr 9, 2026	EGM: Auth capital Rs.15.5 Cr→Rs.70 Cr; Rs.50 Cr warrants at Re.1 approved	MAJOR CATALYST
Apr 2026	Kunvarji Finstock files Draft Letter of Offer with BSE	Potential open offer / acquisition
Jun 2026	FY26 results: Revenue Rs. 0.54 Cr, PAT Rs. 0.04 Cr; Q4 PBT Rs. 0.48 Cr	Highest revenue since FY15
15 Jun 2026	This report published; CMP Rs. 2.02	Report date

APPENDIX B — DATA SOURCES & DISCLAIMER

Data Sources

- screener.in (BSE: 539669) — all P&L;, balance sheet, cash flow, shareholding, and ratio data
- Business Standard — RGF stock price and corporate announcement data
- BSE India — Draft Letter of Offer (Kunvarji Finstock / RGF open offer filing)
- Sharpely.in — supplementary corporate event data
- RGF Capital Markets Ltd website (rgfcapitalmarkets.in)

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